UNIVERSITI TUNKU ABDUL RAHMAN

ACADEMIC YEAR 2012/2013

APRIL EXAMINATION

UKFF4024 MULTINATIONAL FINANCE

TUESDAY, 30 APRIL 2013 TIME: 2.00PM – 5.00 (3 HOURS)

BACHELOR OF INTERNATIONAL BUSINESS (HONS)

Instructions to Candidates:

Section A: [Total: 40 marks]

This section consists of **ONE (1) compulsory** question that **MUST** be answered.

Section B: [Total: 60 marks]

This section consists of three (3) **optional** questions and **ONLY TWO (2)** questions to be answered.

Note: For calculation question(s), marks will be awarded for detailed workings.

UKFF4024 MULTINATIONAL FINANCE

Section A **[Total: 40 marks]**
(Answer this ONE compulsory question)

Q1 (a) Explain the differences between currency forward and currency futures. (5 marks)

(b) How is forward rate determined? (5 marks)

(c) Supermax manufactures surgical gloves for export to United Kingdom. Since Malaysia has shifted to planting oil palm, Supermax has to purchase latex from Thailand. On 1 June, Supermax sold £50,000 worth of gloves to UK and purchased Baht 2 million worth of latex from Thailand. Both the payment and receipt will be due in 3 months.

Market information on 1 June:

Forex Rates:

	RM/£	**RM/Baht**
Spot	7.2630 – 3720	0.1022 – 1036
3 month forward	7.2025 – 3122	0.1030 – 1045
6 month forward	7.1536 – 2625	0.1042 – 1055

Interest Rates:

	Borrowing	**Investing**
UK bank	9.6%	5%
Thailand bank	9%	4%
Malaysia bank	8.5%	3%

Currency Futures Market:

	RM/£	**RM/Baht**
Contract Size	**£50,000**	**Baht 1 million**
June	7.3050	0.1038
September	7.2178	0.1047

Option Market:
Size of contract: £50,000 – ringgit per pound

Strike Price	**Call**		**Put**	
	June	**September**	**June**	**September**
7.2750	0.07	0.10	0.03	0.05
7.3250	0.05	0.08	0.04	0.08
7.3750	0.03	0.05	0.06	0.11

Market Information on 1 September:

	RM/£	**RM/Baht**
Spot	7.1550 – 2585	0.1036 - 0.1048
Futures Price (Sept Contract)	7.1002	0.1050

Required:

(i) The market information shows that several hedging strategies could be used for the Baht payment and £ receipt. Based on the September data given, calculate and determine the net payment and receipt associated with the following strategies: forward hedging, money market hedging, futures hedging and options hedging. From hindsight, which strategies give the highest receipt and lowest payment.

State clearly any assumptions that you make. (26 marks)

(ii) Discuss the advantages and disadvantages of using currency futures and currency options to protect against foreign exchange exposure. (4 marks)

(Total: 40 marks)

UKFF4024 MULTINATIONAL FINANCE

Section B **[Total: 60 marks]**
(Answer any TWO out of three questions)

Q1 Champion Motor Limited

Champion Motor Limited is a motor manufacturing Firm in Australian. It has been exporting its products to Malaysia in the past ten years. Recently, it found that its sale in Malaysia faces very stiff competition from products exported into Malaysia from Thailand. This is because import from Thailand which is also a member of ASEAN free trade area is not subject to import duty whereas import from Australia into Malaysia is subject to a 20% tariff. The management has decided to open a manufacturing plant in Malaysia by acquisition.

An operational plant in Shah Alam could be purchased for RM30 million. An additional RM3 million would be required for working capital.

It is expected that in the first year production and sales are 200,000 units and thereafter will increase by 10% per year for the remainder of Champion's 4 year planning horizon. Assume that there is no loss in cash flow to the company from ceasing to export to Malaysia as it plans to export to other countries. The sale price is RM800 per unit and will increase in line with the inflation rate in the country. The total cost of production is estimated to be 30% of the sale revenues.

Forecast Inflation Rate in Both Countries:

	Malaysia	Australia
Year 1	3%	3%
Year 2	3%	3%
Year 3	4%	3%
Year 4	5%	3%
Year 5	5%	3%

The current spot exchange rate is 2.7570 – 2.8120 RM/A$.

The corporate tax rates are 28% and 30% respectively in Malaysia and Australia. A bilateral tax treaty exists between Malaysia and Australia. Tax allowable depreciation on the RM30 million investment is claimed at the rate of 40% in the first year and 20% thereafter annually until full utilization. The after tax market value of the plant at the end of 4 years is expected to be RM20 million.

Cost of Capital for Champion is as follows:

Risk Free Rate	Cost of Debt	Beta of Champion	Equity Risk Premium	% of Debt
3%	8%	1.5	7%	40%

Champion assumes that the systematic risk of motor manufacturing in Malaysia will not be different. However, Champion requires a foreign investment premium of 3% for its investment in Malaysia.

Required:

(a) Prepare a report analyzing whether or not Champion should acquire the plant in Shah Alam. Include all relevant calculations in your report. (25 marks)

(b) Discuss other factors Champion would consider in making the acquisition decision. (5 marks)

(Total: 30 marks)

Q2 (a) Discuss the main determinants of foreign exchange rates in

(i) the fixed exchange rate regime;

(ii) the floating exchange rate regime. (15 marks)

(b) Maxis Bhd has an extra cash reserve of RM100,000,000 to invest for six months. The six-month interest rate is 8 percent per annum in Malaysia and 7 percent per annum in Singapore. Currently, the spot exchange rate is S$0.40 per ringgit and the six-month forward exchange rate is peso $0.38 per ringgit. The treasurer of Maxis does not wish to bear any exchange risk. Where should he/she invest to maximize the return? (15 marks)

(Total: 30 marks)

Q3 (a) What are the factors that are likely to influence the decision of a firm to undertake foreign direct investment? (15 marks)

(b) When a businessman is involved in international trade, he will be exposed to the following risks: foreign exchange risk and non-performance risk

(i) What do you understand by these risks?

(ii) Explain briefly how these risks could be mitigated. (15 marks)

(Total: 30 marks)